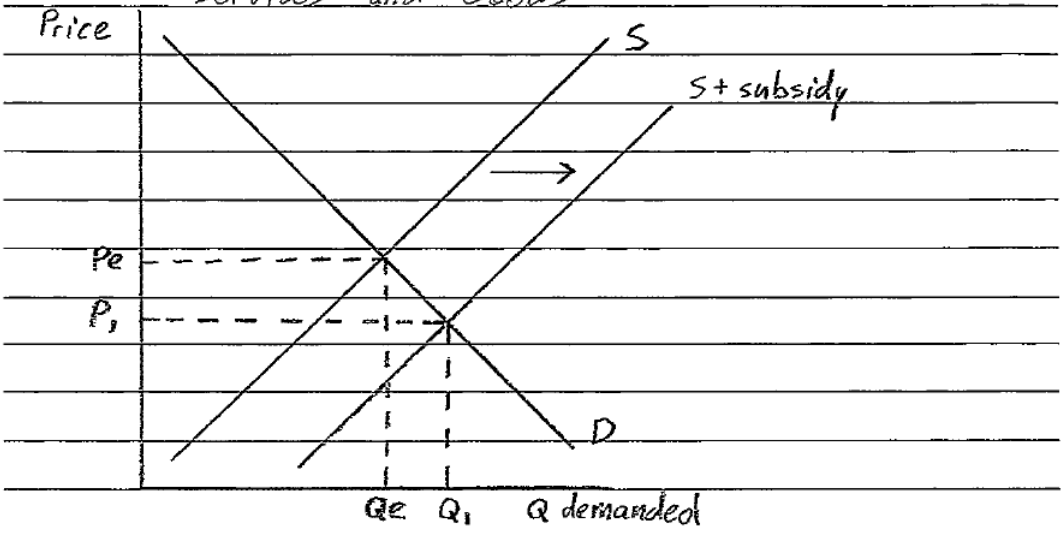
2

a)

Supply-side policies are a type of government intervention in a market, which change the quantity of goods and services that producers are able and willing to supply to a market at various prices of the goods/services at a certain period of time. The use of supply-side policies might encourage greater domestic competition and improve the international competitiveness of a country. Domestic competition refers to competition between domestic producers, which are local producers that produce and often supply their goods and services within the country that they are located in. Farmers are a primary example of domestic producers.

A government's decision to provide subsidies is a supply-side policy. A subsidy is a financial support to firms provided by governments. To demostrate the effects of this policy a diagram for "Market for Domestic Producers' Products & Services" can be used, as can be seen on the next page.

Market for Domestic Producers' Services and Goods



On the graph above, the y-axis represents the price for domestic producers' good/services, while the x-axis represents the quantity demanded by consumers for those goods/services. The S curve represents the supply curve, which is the amount of goods/services that the domestic producers are able and willing to supply to the market. The D curve represents the demand curve, which is the quantity demanded by consumers. S and D curves intercept at point Pe - Qe, which is the original equilibrium, at which the price is Pe and quantity demanded is Qe. The S+subsidy curve is the new supply curve introduced to the market (replacing S) after the implementation of a supply-side policy, being the subsidy. We can see that there has been a shift of the supply curve to the right,

which means that the subsidy lead to an increase in supply of goods/services that the domestic producers can provide to the market. This is because subsidies are a form of determinants of supply. The new intercep between D and S+subsidy creates a new equilibrium at $P_1 - Q_1$. Therefore the price has decreased for the products/services and the quantity demanded increased.

This creates greater domestic competition, as all individual domestic producers can now supply more goods to the market. This is beneficial to consumers, as they now have more goods available to them at a lower price. However, for the producers it is beneficial because they are now able to sell more goods, but it is also worse for them that the prices of their goods are lower and there is more competition.

Greater domestic competition also improves the international competitiveness of a country. That is because domestic producers have ~~enough~~ more supply and since the domestic market became more competitive, they have an option to trade and sell internationally. This also benefits the government in a form of more taxes from exports. There is also a positive impact on workers, since there are likely more jobs available at domestic producers' firms, as they are expanding.

2

b) The use of interventionist supply-side policies such as subsidies has the potential to be the most effective way of reducing a country's rate of unemployment.

Firstly, as shown in the "Market for Domestic Producer's Services and Goods" in part a), interventionist supply-side policies such as subsidies, that aim to aid domestic producers, increase the supply of goods/services that domestic producers can supply to to a market and the quantity demanded by consumers increases as well. Also, the prices of goods become cheaper.

This will create many new job opportunities for workers, as the domestic firms become to expand and possibly start trade internationally. There will be new jobs in factories, farms and stores, which will decrease the unemployment rate quite noticibly, as the domestic production sector is large and plays a big role in a country's economy.

The lower costs of goods will also possibly

contribute to the decrease in unemployment, as consumers will now be able and willing to purchase more goods/services. This also improves the country's economic well-being, which improves the unility of consumers, which is the satisfaction consumers get from purchased products.

Supply-side policies ~~are~~ are a type of government intervention in a market that change the quantity of goods and services that the producers are able and willing to supply to a market at various prices of the goods/services at a given period of time.

Domestic comp. refers to comp. between dom. producers, which are local producers that ~~supply~~ produce goods & serv. within a given country

